FOREIGN AFFAIRS

How Multilateralism Can Survive

Global Institutions Are Declining, but Regional Cooperation Can Fill the Gap

BY MONICA HERZ AND SELINA HO **January 2, 2026**

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Within hours of returning to office, in January 2025, U.S. President Donald Trump took an axe to multilateralism by pulling the United States out of the Paris climate accord and the World Health Organization. The following month, Washington withdrew from the UN Human Rights Council and ordered a review of U.S. commitments to other international institutions, such as UNESCO. In April, Trump took aim at the global trading system, issuing his "Liberation Day" tariffs in violation of World Trade Organization (WTO) principles.

Trump is not the first American president to attack international institutions, nor are his actions the only cause of their declining relevance. Rising domestic inequality, a consequence of hyperglobalization without

adequate support for workers, has fueled discontent with multilateralism in many countries. Most of these organizations, moreover, were established in the twentieth century, and insufficient reform has left them bloated, outdated, and siloed, offering one-size-fits-all remedies for complex problems such as climate change, pandemics, artificial intelligence, and a new nuclear arms race. Still dominated by their creators in North America and Europe, these institutions are poorly suited to govern a world where more and more economic activity and political decision-making happen in Africa, Asia, Latin America, and the Middle East.

This is where regional organizations come in. The world lacks leadership in free trade, technology, conflict management, and human security—and in each of these areas, regional bodies can help bridge the gap. These organizations have been reinforcing and adding to the work of international institutions for decades, and now is the time to expand their portfolios and deepen their cooperation with one another. If they do not step up to the task, the world's problems will be addressed not through multilateralism but by great powers seeking spheres of influence—a mode of global politics that historically has not ended well for small and medium-sized states.

FAIR TRADE

Regional institutions enjoy certain advantages over global ones. They are closer to the sources of issues and can more quickly and accurately diagnose problems, mitigate them, and prevent future occurrences. Groups of neighboring countries can be more sensitive and responsive to local realities and adapt global governance principles and norms to local contexts. With fewer countries involved in decision-making, there are fewer obstacles to collective action and fewer opportunities to veto proposals. Regional institutions can more quickly course correct when strategies do not work as

expected, and they can try novel, untested solutions that an international organization may consider too risky.

Regional organizations are already key facilitators of cross-border trade and investment. The Regional Comprehensive Economic Partnership (RCEP), the world's largest free trade agreement, was signed in November 2020 by Australia, China, Japan, New Zealand, South Korea, and all ten members of the Association of Southeast Asian Nations. (An 11th country, Timor-Leste, joined ASEAN in October 2025 and has not yet joined RCEP.) Since coming into force in 2022, the RCEP's rules and tariff reduction policies have strengthened integration and optimized the regional value chain. As additional members join—Bangladesh, Chile, and Sri Lanka have applied—trade and investment within the bloc will likely grow.

Organizations in different regions also work with one another. In 2014, ASEAN established an annual meeting with the Pacific Alliance—a Latin American free trade arrangement comprising Chile, Colombia, Mexico, and Peru—to explore how the two groups can cooperate on sustainable development, the digital and green transitions, support for small and medium-sized firms, and people-to-people exchanges. Most recently, this collaboration has led to the launch of an innovative new tourism initiative and a free trade agreement between the Pacific Alliance and Singapore—one that could become a model for other ASEAN members. The Pacific Alliance also has partnerships and agreements with the European Union, the Eurasian Economic Commission, and the South American trading bloc Mercosur.

In other cases, countries from different regions have come together to promote free trade. The Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), which became effective in 2018 and

includes 12 members across five continents, reduces tariffs and other barriers to free trade and sets rules that protect intellectual property, investment, financial services, the environment, and labor rights. The CPTPP has facilitated trade even amid global disruption; from 2018 to 2021, a period that included the COVID-19 pandemic, trade among members increased by 5.5 percent overall, and by 13.2 percent among members that did not previously have free trade agreements with each other. In the fall of 2025, 16 small and medium-sized states from Africa, Asia, Europe, Latin America, the Middle East, and the Pacific launched the Future of Investment and Trade Partnership to promote open and fair trade. At the inaugural meeting, in November, Singaporean Deputy Prime Minister Gan Kim Yong described the group's structure, which allows a subset of members to advance an initiative before the rest sign on, as one that allows states to "move fast to innovate, test new ideas, and seize new opportunities." If it works as intended, the partnership may devise new ways to overcome trade and investment barriers—solutions that could also be applied elsewhere.

These cross-regional trading regimes can act as stabilizing forces amid rising U.S. protectionism and retaliatory tariffs. By boosting trade and investment, strengthening science and technology innovation, and promoting financial integration, they help keep the global economy running. Even as individual countries negotiate concessions from the Trump administration, regional bodies can collectively bargain with the United States or at least agree to a set of joint principles to guide bilateral talks. Forums in Africa, Europe, Latin America, the Middle East, and Southeast Asia can even prevent a total fragmentation of the international trading system by diversifying their supply chains, using new technology to streamline global commerce, and aligning their rules on digital trade and clean energy. Eventually, those rules can be brought to the WTO. This global organization is no longer capable of

rule-setting on its own, but delivering to it a set of rules that have broad buy-in and have been shown to work may restore some of its governance capabilities.

WORK SMARTER

In addition to converging on free trade, regional organizations can help regulate AI and the digital economy. UN efforts to promote the ethical use of AI and to protect personal data have focused on advancing universal guidelines but the UN's slow bureaucratic processes are not able to keep up with the pace of technological development. But at the regional level, the EU has enacted comprehensive, binding regulation on AI use in its 2024 AI Act. Other regional and cross-regional groups, meanwhile, have put forward nonbinding agreements, declarations, or principles that can adapt to rapidly evolving technology and can inspire national legislation. In 2020, Chile, New Zealand, and Singapore signed the Digital Economy Partnership Agreement, the first of its kind to regulate digital trade and data flows, promote interoperability, and set ethical standards for AI. They have updated the agreement since to make the original rules more enforceable and to add a new member, South Korea, in 2024. ASEAN is expected to sign a similar pact in 2026 after two years of negotiations to facilitate the flow of digital goods and services between the bloc's members. In Latin America, Mercosur created a Digital Agenda Group in 2017 to promote the development of a free and secure digital market, and the Inter-American Network on Digital Government, created in 2003, has conducted pilot projects for making data freely available and accessible, established a fund for collaborative digital governance efforts, and supported efforts to provide digital health care and social services during the pandemic.

If these regional and cross-regional bodies follow through with their plans, more efficient digital trade, safer transfers of data across borders, and higher

trust in digital systems will follow. Other regional organizations can contribute to this effort, too, by developing and updating their own digital standards. The CPTPP, for example, should modernize its e-commerce provisions, which were established in 2015 and do not address recent advances in e-payments, electronic invoicing, or government efforts to make data transparent and accessible to the public. Over time, regional frameworks can expand and converge, eventually leading to a globally agreed upon set of principles and regulations to govern new technology and the digital economy.

KEEP THE PEACE

Regional institutions must also step up to manage global conflicts as international organizations that have traditionally led peacekeeping and peacebuilding efforts, including the United Nations, see their funds dry up and their support wane. Southeast Asia has shown how this can be done: a set of informal norms known as the "ASEAN Way," which promotes consensus building, noninterference, and voluntary cooperation among member states, has largely prevented disputes from erupting and destroying regional peace. Indonesia's mediation, for instance, helped the Philippine government and the Moro National Liberation Front, a Filipino separatist group, sign a peace agreement in 1996. In keeping with these norms, Malaysia and Singapore peacefully resolved their dispute over the island of Pedra Branca by turning the case over to the International Court of Justice to arbitrate in 2003.

For years, Latin American organizations have also helped resolve border disputes and keep regional tensions low even as individual countries have increased their military spending. The Union of South American Nations (UNASUR), for example, helped negotiate an end to months of political unrest in Bolivia in 2008, provided a platform for addressing concerns in the

region after Colombia and the United States agreed to a deployment of American troops to Colombian bases in 2009, and mediated talks between Colombia and Venezuela when the two had a diplomatic spat in 2010 over the presence of Colombian armed rebels in Venezuela. The African Union, too, has invested heavily in peace and security, creating advisory bodies, a peacekeeping force, and other mechanisms to prevent conflicts and stabilize postconflict environments. The AU's peacekeeping mission in Somalia, for example, has helped strengthen Somali forces' control of national territory and stabilize the country since its launch in January 2025.

Regional efforts can also reduce nuclear threats. Historically, Latin America has been a leader in nonproliferation: the 1967 Treaty of Tlatelolco, which established a nuclear-free zone across Latin America and the Caribbean, became a model for similar agreements in Africa, Asia, and the South Pacific. In 1991, Brazil and Argentina established a bilateral agency that, together with the International Atomic Energy Agency, oversees both countries' civilian nuclear programs to ensure that facilities adhere to strict safety guidelines and are being used exclusively for nuclear energy. And today, the IAEA and the bilateral agency are working closely with Brazil to ensure that adequate safeguards are in place as the country develops a nuclear-powered-submarine program. If other regions were to adopt similar practices—particularly East Asia, where China and North Korea are expanding their nuclear arsenals and South Korea is beginning to consider a nuclear weapons program—such cooperation could help keep a lid on an emerging nuclear arms race.

STEP UP

Regional groups can bridge other global gaps, too. Since the nineteenth century, Latin American countries have been applying common health regulations, sharing information about disease outbreaks, and sending one

another medical aid during health crises. Since 1902, the Pan American Health Organization has been fighting disease, strengthening health systems, and responding to emergencies. In 1996, Mercosur convened regional forums and a working group to harmonize health policies among its members and help them implement international health regulations. The result is a culture of regional cooperation that facilitates joint investments on high-priority health concerns, support for countries with weaker health systems, and close collaboration with international bodies such as the World Health Organization.

Africa has also developed innovative health initiatives in recent years. The Africa Centres for Disease Control and Prevention (Africa CDC), created in 2017, has improved the capacity of the continent's public health institutions to detect, prevent, control, and respond to diseases. When the COVID-19 pandemic broke out, the African Union and Africa CDC played key roles in rapidly expanding health infrastructure, research, and information sharing between countries. Together they launched a regionwide strategy in 2021 to make African public health systems more self-sufficient and to raise the continent's profile in international public health governance. In both Latin America and Africa, regional bodies have helped contain outbreaks of diseases with the potential to spread to other parts of the world.

There is a similar role for regional groups in advancing democracy, human rights, and protections for migrants. In Africa, the AU monitors elections and has adopted agreements establishing a commitment to democratic principles, and countries often respond collectively when an unconstitutional change of government occurs. In Latin America, the 1948 American Declaration of the Rights and Duties of Man and the 1984 Cartagena Declaration on Refugees offer civil and political rights protections, including

for specific groups such as women and indigenous populations, and establish generous asylum procedures. Mercosur (whose members include Argentina, Bolivia, Brazil, Paraguay, and Uruguay) and the Andean Community (Bolivia, Colombia, Ecuador, and Peru) have an agreement that allows migrants to temporarily reside and work in Argentina, Brazil, Paraguay, and Uruguay. Although far from perfect, regional human rights monitoring and measures that facilitate cross-border movement can fill some of the gaps left by international bodies that are unable to provide adequate protections.

With international climate diplomacy delivering limited progress, regional organizations can also provide platforms for negotiation and policy coordination. Denmark, Finland, Iceland, Norway, and Sweden often lead the world in implementing ambitious policies for cutting carbon emissions and making the transition to renewable energy, and their Nordic Council of Ministers plays an important role in aligning a regional climate strategy. Latin America has made notable progress on climate cooperation, too: Mercosur hosts meetings of its members' environment ministers, and the 18-member Platform of Latin America and the Caribbean for Climate Action on Agriculture, established in 2019, helps national ministries of agriculture incorporate climate policies into their work. Even so, the region could use an institutional platform that can coordinate as closely as the Nordic Council of Ministers and revitalize the climate action that has slowed since the increase in fossil fuel subsidies during the COVID-19 pandemic.

NOW OR NEVER

International forums are faltering, but the world still needs collective action. Regional organizations can be a recourse. They are not a panacea for global problems; they often fall short of their aims, and internal squabbles and changes in government among their members can limit their effectiveness. The ASEAN Way, for instance, has not always prevented national and

regional disputes from disrupting the region: civil war broke out in Myanmar in 2021, the Thai-Cambodian border dispute has escalated into direct military clashes several times over the past year, and the intensifying U.S.-Chinese rivalry is creating problems across the region. But if ASEAN members can set up stronger conflict prevention and mitigation mechanisms, the group can help manage conflicts when global bodies are unable to do so.

Latin America has more work to do. UNASUR, comprising all 12 South American states, helped resolve several regional and intrastate conflicts between 2008 and 2016. But infighting and a failure to elect a new secretary-general since 2017 have resulted in the withdrawal of several key member states, effectively rendering the bloc defunct. As the Trump administration threatens intervention in Venezuela and as China increases its economic and security influence across Latin America, the region needs to be able to come together to resolve conflicts, manage great-power rivalry, promote common policies, and strengthen its voice in international forums. That requires Latin American countries to put aside their differences and be willing to support multilateral cooperation through a functioning regional organization.

Other regions are contending with even more formidable challenges. The European Union is bogged down by the war in Ukraine, immigration issues, political polarization, trade headwinds, and attacks from Trump. The South Asian Association for Regional Cooperation rarely meets, and even when it does, members keep contentious topics off the table. The African Union faces persistent crises, such as terrorism and civil wars in member countries, and significant hurdles to regional economic integration. The Arab League and the Gulf Cooperation Council, too, are beset with internal divisions and regional conflicts.

Yet regional governance remains the best antidote for weakening multilateralism. It is an essential building block of global governance and has a long history of supporting international cooperation. Since the end of the Cold War, regional institutions have expanded, and their role in facilitating trade, resolving conflicts, and developing shared standards has grown. Now they must support weakened global institutions and take on more responsibilities themselves. This shift will not only help sustain multilateralism but could also improve on it, by harnessing regional strengths and facilitating innovative, bottom-up solutions to the world's most intractable problems.

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